Escaping Inequality in India: English-Medium Instruction & Local Development

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Why This Matters

1. *Jobless growth.* Rapid GDP growth has coincided with weak wage growth and poor employment prospects for educated young people (International Labour Organization 2024).
2. *English as human capital.* English fluency is associated with wage premia, higher education, and service-sector employment (Azam et al. 2013; Chakraborty and Bakshi 2016).
3. *EMI joins schooling and English.* English-medium instruction (EMI) may expand opportunity, but fees, school quality, and unequal access may limit its benefits (Lahoti and Mukhopadhyay 2019; Bhattacharya 2013).
4. *Question.* Does greater district EMI enrollment predict faster household-consumption growth over the next decade?

Research Design

Census 2001	→	**NSS 2007-08**	→	**NSS 2017-18**
Mother tongues + controls		Enrollment + EMI exposure		Real consumption growth

Common unit: Census 2001 districts

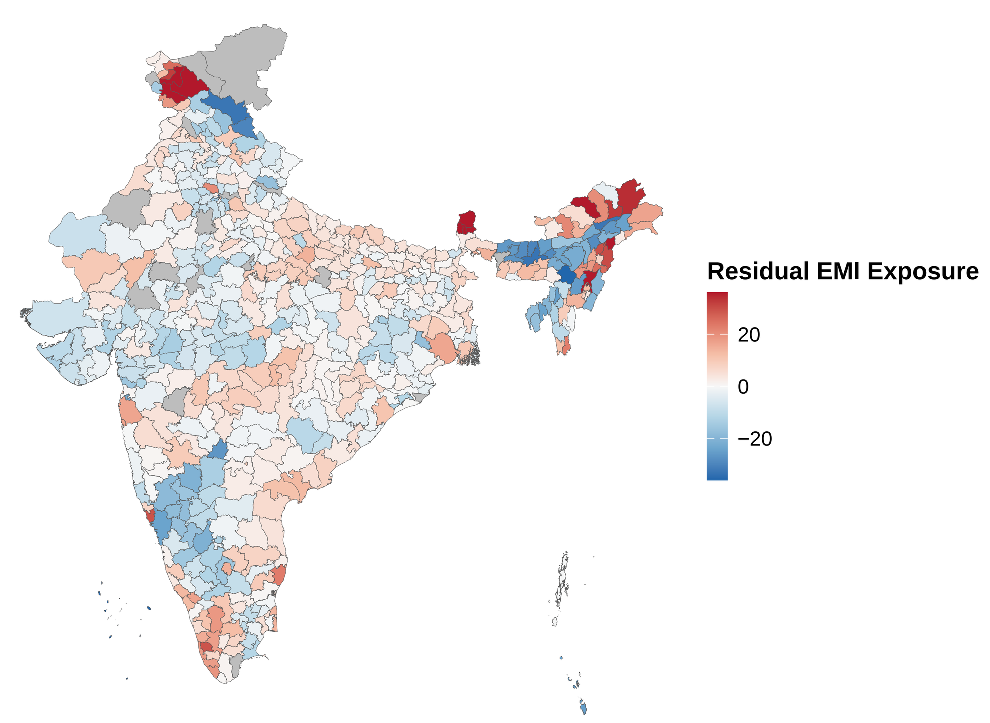


Figure 1: EMI exposure after removing six-region effects and expanded Census 2001 controls.

Treatment: Survey-weighted share of school-age (5-19) children enrolled in EMI. It combines two decisions:

$$\mathrm{EMIE}_d = \Pr(\text{enrolled and in EMI})_d.$$

The first is the extensive enrollment margin; the second is the medium-of-instruction margin among enrolled children. Families choose among higher-cost private EMI, low-cost private EMI (that may absorb 7-20% of a poor household's monthly income), and free/negatively priced government schooling usually taught in the mother tongue (Endow 2019; Muralidharan 2019).

Private schooling remains more accessible to richer households (Muralidharan and Sundararaman 2015). School access and instructional quality differ, meaning recorded EMI enrollment does not establish that children actually learn in English (Lahoti and Mukhopadhyay 2019).

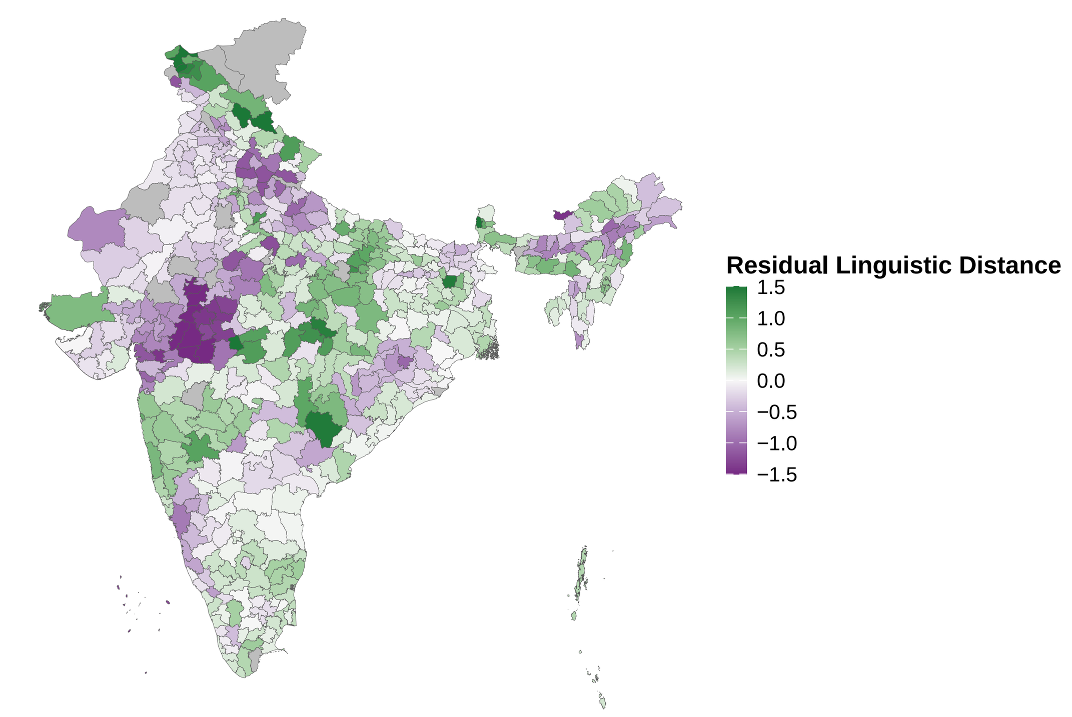


Figure 2: Linguistic distance after the same adjustment.

Instrument: Weighted average linguistic distance of mother tongue from Hindi.

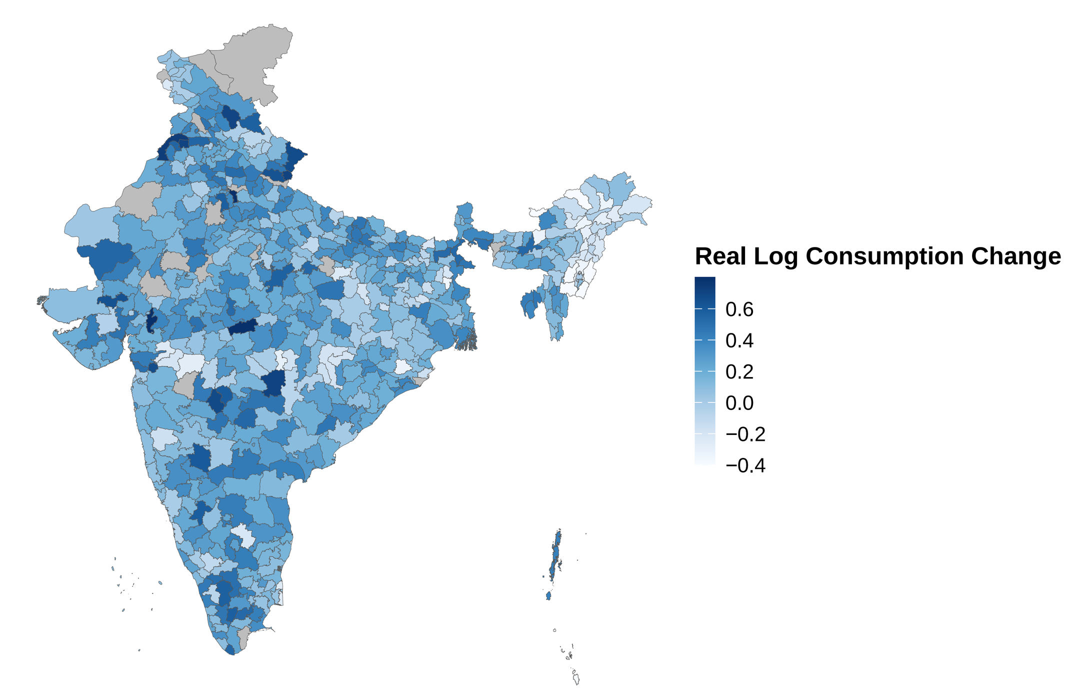
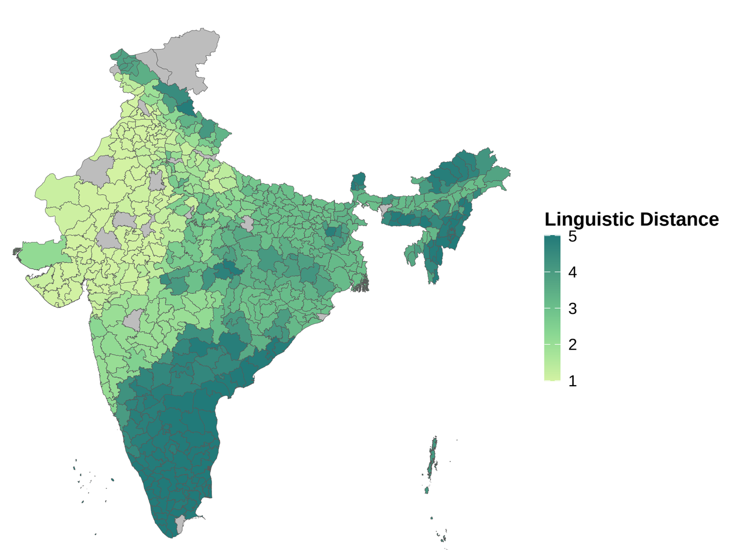
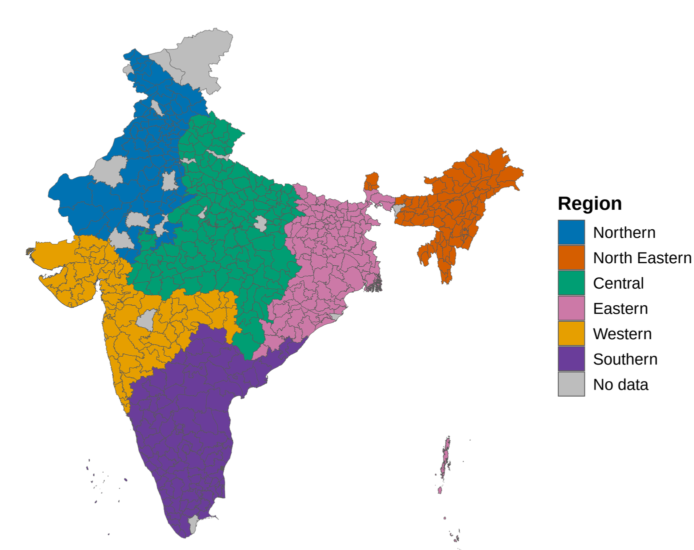


Figure 3: Person-weighted change in log real consumption.

Outcome: Person-weighted change in log real consumption from 2007-08 to 2017-18. Temporal deflation by linking multiple state+sector-level CPI series. Spatial deflation by using state+sector-level Tendulkar poverty lines as baseline.





Controls: Scale/geography, social composition, human capital, demography, economic structure, basic development, and region or state FEs.

First Stage

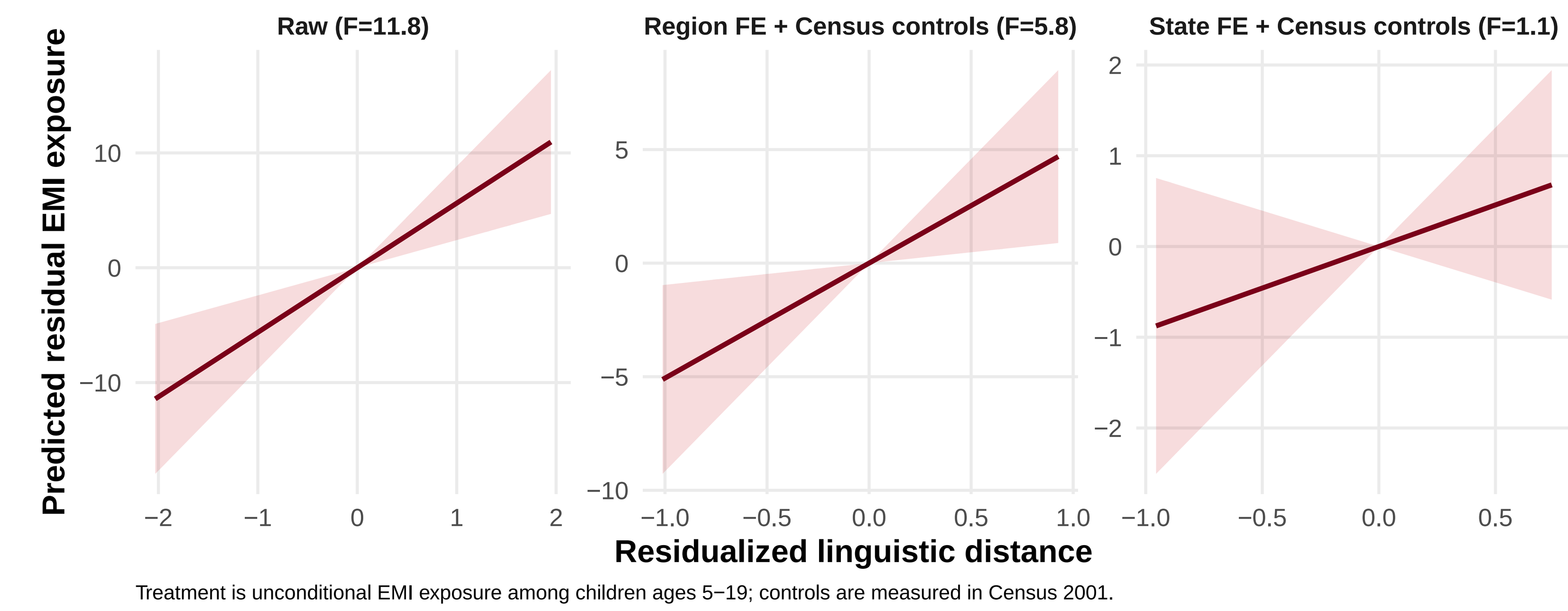


Figure 4: First-stage relationship before adjustment, after region adjustment, and after state adjustment.

Greater distance from Hindi can raise the relative appeal of English over Hindi as the learned *lingua franca*. For families, this can increase demand for EMI. For schools, it can increase the incentive to offer EMI. The first stage tests if these forces raise district EMI exposure (Clingingsmith 2008; Shastry 2012).

Second Stage

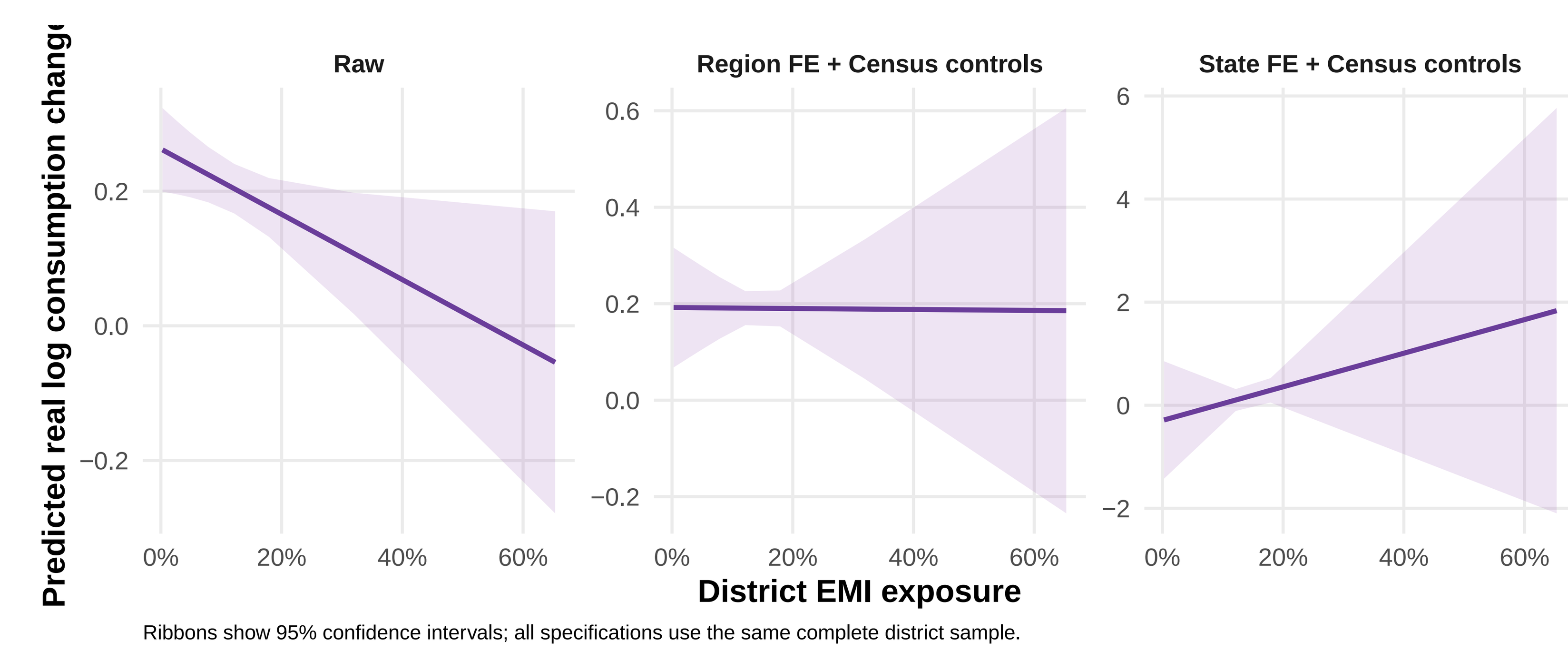


Figure 5: Estimated consumption response across three IV specifications.

The second stage tests if more EMI exposure raises local consumption growth.

Next Steps

- Does EMI translate into welfare growth for the district where the education occurred? What determines the absorption of EMI graduates and thus of English human capital into the local economy?
- Does EMI create employment in a context where labor demand is exceeded by a nominally overqualified but technically underskilled supply?
- Does EMI democratize access to higher wages, or does it exacerbate inequality by privileging the already advantaged?

Code, paper, and updates
git.new/FwmVaXq
rishavbroy.github.io